

Purpose in Innovation, Strategy and Organizational Transformation

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ABSTRACT

Corporate purpose is the foundation for an organization's existence. The concept has evolved from shareholder profit to a strategic driver, merging profit to environmental and societal needs. Despite its revival, literature remains disjointed regarding how purpose restores organizational transformation. This paper offers a conceptual model of how corporate purpose acts as a strategic asset in strategic renewal, digital transformation and innovation ecosystems, legitimising change and enhancing resilience, while helping to guide organizations in an ethical manner including in the responsible adoption of technologies such as AI. Purpose also functions as an "alarm system" in highly competitive markets while conquering business myopia, in order to stimulate innovation ecosystems. Additionally, the challenges of a purpose-led transformation are identified along with a multi-layered diagram depicting how a corporate purpose catalyses these three enabling properties (credibility, context-sensitivity, conversability), while strengthening adaptability and legitimacy. Significantly, the model emphasises cross-institutional differences, improving governance in emerging markets with weaker regulatory systems, while it reinforces legitimacy and compliance in developed economies.

Keywords: Corporate purpose, Strategic renewal, Innovation ecosystems, Digital transformation, organizational ethics

INTRODUCTION

What is Corporate Purpose?

Corporate purpose is an organization's "reason for being" (Gartenberg & Serafeim, 2022; Ocasio et al., 2023). Conventional definitions refer to the concept as an organization's existence (Warriner, 1965) with priorities focused on increasing profits to enhance shareholder interest (Ostermaier and van Aaken 2020). Jimenez, Franco & Smith (2021) argue that corporate purpose aligns profits with the needs of people and planet, demonstrating how organizational transformation supports the transition in achieving sustainable results. Therefore, literature contends that corporate purpose is a strategic driver of long-term value impacting employees, customers and financial performance, while closely aligned to innovation and the United Nations Sustainable Development Goals (UN SDGs) (Dhanesh, 2020). Many organizations utilise their core business operations for a socially responsible purpose (Dyck, Liao & Manchanda. (2022), however, this does not reflect in their day-to-day operations. For instance, the mining industry relies on the earth's resources, yet their main activity contributes to global climate change (Henderson, 2021). Although this is sector dependent, corporate purpose relies on consistent and transparent reporting, forcing top-level managers to drive internal and external dialogue. Thus, transformation is achieved when corporate purpose transitions from just a guiding principle to the three enabling properties incorporating strategy, culture and open communication.

In recent years the idea of corporate purpose has resurfaced as a significant concept that should be clearly defined, given the adaptive and competitive landscape organizations operate in. Literature on corporate purpose remains incoherent and underdeveloped (Jimenez, Franco, & Smith, 2021) in relation to innovation, renewal and transformation; therefore, the purpose of this paper is to determine how corporate purpose stimulates strategic renewal, digital transformation and innovation across organizational ecosystems, while synthesizing the literature relating to purpose, renewal and legitimacy.

This research provides a conceptual framework for organizations to integrate purpose as credible, context-sensitive, and conversable. The framework enables the acceleration of the three enabling properties, while advancing 1) 'purpose-as-alarm' function linking stakeholder perception and management sensemaking to adaptive action 2) 'conversability' explaining how purpose translates into practical dialogue, interpretability and legitimacy, and 3) comprehending when mission drift occurs, organizations fail to adapt, experiencing absence of

credibility, context-sensitivity, or conversability. The framework assumes that purpose accelerates renewal and transformation when the three enabling properties are institutionally integrated.

Morrison and Mota (2023) explain that conversability allow organizations to build a foundation for stakeholders (investor and customers) to align their actions to their beliefs. Conversability promotes legitimacy and is a key contributor to sustaining a “corporate mind” while fulfilling its purpose. A corporate purpose, as preciously stated are an organizations “reason for being”, however when context- sensitive, purpose becomes adapted to and shaped by unique internal and external environments (Stremersch et al., 2023). Finally, a credible corporate purpose strives to create value for society as well as its stakeholders. It extends beyond profit maximisation and is thoroughly integrated and practiced by organizations. Credibility is attained through business model authenticity, stakeholder trust and when internalised by employees (Durand et al., 2024).

PURPOSE COMMUNICATION: RHETORICAL OR STRUCTURED

Tafuro & Piccaluga (2025) explain that corporate purpose is complex and often theoretical. Rhetorical purpose is a statement and a symbolic commitment to an organization, but it is not yet integrated. Structural purpose is embedded in systems, processes, strategies and linked to governance and incentives. Thus, a gap remains between conceptual and practical implementation. Furthermore, purpose statements risk remaining rhetorical with organizations falsely claiming or promoting commitment to sustainability practices, also know as “purpose washing” (Aguilera, 2023). *Purpose washing* is viewed as a barrier for organizations, as it undermines legitimacy and their ability in showing how antecedents factors shape management practices that ensures purpose is effectively operationalised throughout the organization (Tafuro & Piccaluga, 2025). This deceptive practice indicates a misalignment in what leaders portray and employees experience; however, conversability helps bridge the gap between rhetorical and structural purpose, by allowing employees to be included in co-creating meaning (Izak & Ybema, 2024).

CORPORATE PURPOSE AND STRATEGIC RENEWAL

Strategic renewal: Organizational Adaptation

Strategic renewal is defined as “*the process, content, and outcome of refreshment or replacement of attributes of an organization that have the potential to substantially affect its long-term prospects*” (Agarwal & Helfat, 2009:282). This includes any changes in an

organization's resources and skills (Danneels, 2011). However, Raoofian et al. (2025) suggest that recent scholarship lacks an explicit definition of strategic renewal; however, common attributes include long-term survival and success (Nuguyen et al., 2022), it has a considerable impact and consequences on the entire organization, it supports aligning an organization with its external environment either proactively or reactively and lastly, organization renewal is linked with improvement, repair, and success (Perez-Nordtvedt, 2020). Collectively, strategic renewal is a complicated yet emergent process, prompting organizations to find a balance between internal modification and diversification of resources. Consequently, renewal adoption is a proactive process that remains essential for organizations.

Evidently, purpose-driven organizations tend to be more flexible while navigating change with the aim to transform processes and operations. Rindova & Martins (2023) claim that corporate purpose supports the development of unique strategies, promotes structural innovation, and (Henderson, 2020; 2021c) enable organizations to commence change initiatives. For instance, Apple readjusted their corporate purpose in the 1990's to avoid bankruptcy by developing unique strategies integrating a harmonious technological experience through their hardware and software using Mac, iPod, iTunes and iPhone. They later launched iTunes and App Store. Through their change initiatives, Apple illustrates how renewal through corporate purpose transforms organizations through strategy, innovative approaches and adopting organizational change (Chen, 2020). By reframing their identity and creating coherent product lines, renewed purpose was attained through executive sensemaking e.g. platform prioritisation. Moreover, through developer engagement, stakeholder cognition indicates that feedback was considered in product cycles, resulting in conversability. This example is an indication that a clear purpose and stakeholder dialogue leads to the potentiality of renewal.

Corporate purpose is divided into categories integrating identity, legitimacy, sustainability and governance. Purpose catalyses renewal when it is credible and situated in governance processes (Durand & Huynh, 2024). Thus, purpose functions as a primary factor by outlining organizational identity while legitimising change, highlighting that renewal is an ongoing process when purpose is integrated (Raoofian et al., 2025). Furthermore, when purpose is aligned with resilience, renewal is accelerated, providing the ability to deviate (Florez-Jimenez et al., 2025). Acceleration is also achieved when purpose is conversable, consisting of open dialogue and interpretation, enabling cycles of communication to emerge when environmental shifts occur. (Tafuro & Piccaluga., 2025). Therefore, purpose positively impacts renewal when organizational identity is aligned, legitimacy is structurally supported (reducing resistance) and

dialogue remains open and adaptative, allowing stakeholders to interpret, feedback and make continuous adjustments. These boundary conditions increase the chances of accomplishing renewal (Raoofian et al., 2025).

CORPORATE PURPOSE AND DIGITAL TRANSFORMATION

How purpose guides ethical adoption of AI, data, and digital platforms

Building on the main elements of credibility, context-sensitivity, and conversability whereby purpose directs ethical adoption of digital technologies through transparency and stakeholder dialogue. It is important to note that an organization's mission statement and values differ from their purpose, as it assists in directing decision-making and articulating which values should be focused on when implementing digital technologies. Ethical adoption of technologies force leadership to align practices with obligations therefore helping organizations overcome challenges related to privacy, bias and transparency. This process reveals which stakeholders (employees or communities) should be prioritised, while ensuring AI practices protect their rights (Maiti et al., 2025). Moreover, frameworks that are guided by corporate purpose are critical for smaller organizations in emerging economies, proving that the emergence of Artificial Intelligence (AI) adoption can be socially inclusive and not just technologically driven. When the three enabling properties are centred on open communication, organizations to invest in employee skills, infrastructure and partnerships. It has also been found to help leaders incorporate AI ethically, while still balancing innovation and social responsibility. (Coovadia et a., 2025).

An example of an organization that integrates purpose in their digital innovation strategies is Tesla, the manufacturer and seller of electric cars. Their purpose is "to accelerate the world's transition to sustainable energy" (Tesla, 2025), through smart, sustainable approaches to digital transformation (Loo & Zhue, 2025). Evidently, their purpose guides their digital transformation decisions, and their technologies are overseen by governance procedures e.g. how privacy is protected, bias is addressed, and safety is emphasised. This case suggests that purpose alone is not sufficient and requires governance structures (Subramanian, 2023).

Increasing apprehension due to AI and private markets are driving organizations to adapt at an accelerated pace, creating sustainable value. However, purpose functions as a guiding framework that incorporates digital initiatives into the long-term mission of the organization rather than independent projects. This however only occurs when purpose is strategically aligned. Meanwhile, when digital technologies serve a significant purpose, business partners

and employees are more open to adopt them (Pantalena et al., 2025). Essentially, purpose guides ethical digital adoption when 1) value is prioritised, 2) competencies are operative (skills and infrastructure) and 3) transparency procedures are practiced regularly (audits and disclosing information). When implemented correctly, these three methods help to alleviate risks of bias and privacy violations (Maiti et al., 2025).

Conversely, the potential of moral pluralism amongst stakeholders exist and can create conflict in innovation ecosystems. Moral pluralism is the conflicting moral values and interest of individuals (Aktaş et al., 2017). These conflicting values shape how different stakeholders interpret purpose, for instance, Jasinenko & Steuber (2023) suggest that employees interpret purpose through day-to-day work experience, investors interpret purpose through performance, and communities through social value creation and ethical conduct. However, purpose helps to de-escalate conflict and enhances conversability and ethical legitimacy relies on when stakeholders disputing decisions, are transparent regarding decisions and rectify errors as they occur. Integrating these elements reinforces context-sensitive and credible practices that focuses on ethical governance and performance objectives (Kiwia et al., 2025).

Ethical and ESG Implications

Environmental, social and governance (ESG) reporting is also referred as sustainability reporting and communicates an organizations corporate responsibility and sustainability strategies that are inline with Sustainable Development Goals (SDGs) (Annesi et al., 2025). Dahlmann & Stubbs (2023) reveal that purpose could potentially form part of “an informal governance approach” that is adopted to facilitate broader sustainability transformation. Therefore, purpose underpins how organizations navigate sustainability practices; thus, when organizations understand their purpose and their societal impact, their ESG reporting and targets are clearer and are more effectively embedded in governance structures (Mosca & Greco, 2024). Moreover, purposeful organizations operating in weak regulatory environments or emerging markets are able to create more stable environments, which guide organizations towards obtaining investments, building local capacities, and secure employment, which directly supports inclusive growth for employees and communities. When purpose is embedded in ESG practices, shareholders, employees and communities all benefit from inclusive-growth priorities (Basuony et al., 2023; Al-Hiyari et al., 2022).

CORPORATE PURPOSE AND INNOVATION ECOSYSTEMS

Entrepreneurship and global business: Purpose as a differentiator in competitive markets

The World Economic Forum (2025), notes that organizations that intentionally prioritise their corporate purpose, are viewed as more progressive and future-proofed in global markets. An authentic purpose catalyses innovation ecosystems by expanding the vision and sensitising organizations to opportunities while integrating learning. Ocasio et al. (2023) claim that corporate purpose helps leaders to overcome “business myopia” by which technological change is ignored or failing to acknowledge competitors during times of instability. Ultimately, purpose functions as an alarm system, allowing organizations to recognise new business opportunities and respond innovatively (Henderson, 2020). Crucial components such as organizational capability, creativity, technology advancement and Human Resource Management (HRM) are crucial components needed to achieve innovation. Purpose assimilates these factors into a clear strategy, ensuring that the strategy conforms to each department’s goals (Chen et al., 2019; Silva & Cirani, 2020).

Dhanesh (2020) further elaborates that purpose aligned with Sustainable Development Goals (SDGs) suggests legitimacy and trust is critical in innovation ecosystems where organizations, governments, communities and NGOs all collaborate. This literature suggests that purpose increases innovation through organizations by legitimising strategic directions, alerting organizations to potential opportunities, integrating feedback and learning, while incorporating an array of capabilities into a coordinate purpose drives innovation framework (Dorrego-Viera, 2025). Purpose can be regarded as a non-price differentiator that catalyses innovation and enhances ecosystems, offering a long-term advantage for organizations.

Purpose accelerates ecosystem innovation when three structures are in order, namely: 1) non-price differentiation (e.g. value signalling and quality services) 2) achieving legitimacy through trusted relationships (with stakeholders and communities) and 3) learning incorporation (include feedback into strategy). These processes are solely dependent on institutional strength and its stakeholders (Dorrego-Viera et al., 2025). However, purpose operates differently across institutional environments; therefore, the below table highlights these differences while providing the outcomes for purpose-led transformation, and the theoretical lens underpinning the cross-institutional differences.

Cross-Sector and Cross-Institutional Variation

Dimension	Developed economies	Emerging economies	Outcome for purpose-led transformation	Theoretical Lens
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Institutional governance	Strong regulatory systems, ESG reporting instruction, specific governance codes (E.g., EU CSRD). Purpose is monitored externally.	Weaker regulatory direction, informality. Purpose often replaces governance gaps & builds legitimacy.	Credibility is shaped by institutional context. Strong systems – credibility is regulated. Weak systems – credibility is internally constructed (Aguilera, 2023).	Institutional theory (Scott, 2014).
Drivers of corporate purpose	Organizations reputational risk, sustainability regulations & pressure from stakeholders.	Seeking legitimacy, political instability, & socio-economic development	Emerging economies – purpose is survival orientated Developed economies – compliance orientated (Triviño, 2023; Gartenberg & Serafeim, 2022)	Stakeholder theory (Freeman, 1984).
Digital pressures transformation	Data governance, privacy regulation, AI ethical frameworks.	Leapfrogging opportunities, infrastructure gaps, & digital inequality.	Purpose-led digital transformation should be able to adapt to different constraints (Maiti et al., 2025).	Socio-technical systems (Trist & Bamforth, 1951).
Purpose acts as governance in innovative environments	Purpose aligns with various actors through ESG standards & cross-sector collaboration	Purpose builds trust & facilitates inclusive innovation.	Emerging economies – conversability bridges institutional gaps. Developed economies – reinforces legitimacy (Dhanesh, 2020).	Institutional theory (Scott, 2014).
Stakeholder expectations & moral pluralism	Increased transparency expectations, stakeholder pressure organizations for ESG performance, & employees expect ethical AI.	Communities expect socio-economic returns, employees stress job security, & investors emphasises short-term returns.	Context-sensitivity is crucial – stakeholders interpret purpose differently across environments (Jasinenko & Steuber, 2023).	Stakeholder theory (Freeman, 1984).
Strategic Renewal Conditions	Renewal is prompted by competitive, sustainability, & technological pressures.	Renewal is promoted by institutional instability, limited resources & socio-economic disruptions.	Purpose functions as an alert system but in developed markets its a sign of competitive threats; in emerging markets, it signals institutional risks (Florez-Jimenez et al., 2025).	Dynamic capabilities theory (Teece, 2007).
Risk of mission drift	Purpose becomes symbolic and not actioned.	Focus on social commitments are not	Credibility & coversability can help mitigate mission drift (Suykens et al., 2024).	Organizational legitimacy

		priority due to resource constraints.		(Suchman, 1995).
Leadership & sensemaking	Leaders depend on structured governance & KPIs.	Leaders depend on adaptive sensemaking & informal networks.	Executive sensemaking in developed markets are formalised & emerging markets are more interpersonal (Kiti et al., 2025).	Sensemaking theory (Gioia & Chittipeddi, 1991).

Source: Author's own

Executive Sensemaking and Shareholder Cognition

Sensemaking is a process by which individuals in a team share beliefs and understanding about digital technologies, market trends and organizational capabilities through communication, feedback and reflection (Gioia & Chittipeddi, 1991). The sensemaking process help leaders manage changing environments and other business areas. Due to its collaborative nature, the three enabling properties occur through executive sensemaking and stakeholder cognition. Leaders interpret purpose during periods of instability and conduct negotiations, reframing those interpretations into strategic decisions such as KPIs. Their interpretation and decision-making determine legitimacy therefore, conversability requires 1) open communication that manages conflict 2) tangible tools that drive decision-making and 3) constructive feedback loops (Eckstein et al., 2025).

Förster et al. (2022) found that leaders face a paradox during crisis periods. These contradictions emerge as strategic vs. operational thinking, optimism vs. realism, and rationality vs. intuitiveness. As a leader, both behaviours require adoption in order to get their organization out of crisis mode. Embracing different leadership styles such as compressed situational leadership (tight vs. loose leadership and emotional distance vs. empathy) purpose is interpreted while navigating scenario planning and environmental scanning. At this stage, organizations rely on their values, mission and the organizations long-term direction to balance the paradoxes (Tungtakanpoung & Postoyeva, 2023). Hence, purpose is influenced by this paradoxical thinking and crisis pressures such as emotional strain and increased stakeholder expectations. These pressures demonstrate the reason why processes of executive sensemaking and stakeholder cognition are necessitated, interpreting purpose through dialogue and negotiations to uphold legitimacy during uncertainty.

Sensemaking and the interaction between credibility, context-sensitivity, conversability

Notably, Allen et al. (2023) highlight the interaction between sensemaking and the study's enabling elements (credibility, context-sensitivity, and conversability) reveal that sensemaking is translated through communication, helping leaders to build clear narratives that build trust amongst employees; therefore, sensemaking strengthens credibility and people's ability to interpret purpose (Golob, 2018). Sensemaking depends on the situation, and leaders rely on cues in changing environments. This ensures that purpose is interpreted accordingly, remaining adaptive during uncertainty. Lastly, because sensemaking is socially constructed through dialogue, it allows leaders to negotiate the meaning and importance of purpose. This interaction demonstrates that purpose has the ability to guide organizations through periods of uncertainty, functioning as a dynamic anchor.

Furthermore, for organizations, aspects such as key performance indicators (KPIs), resource allocation, and prioritising strategic tasks are key to enabling decision-making and enhancing competitiveness. Sensemaking help leaders establish what is strategically important, how information is interpreted, ultimately prompting organizational action in these core areas (Khezri, 2022; Malik et al., 2025).

CHALLENGES AND GAPS IN PURPOSE-LED TRANSFORMATION

	Challenge	Gap
Incoherent definitions	Challenging to measure & operationalise purpose (Jimenez, Franco & Smith, 2021)	Lacking an integrated framework to evaluate how purpose contributes to renewal, digital transformation & innovation. Additionally, purpose operates at macro level & not organizational level, making it broad & the need to consider systemic factors (Bocean & Vărzaru, 2025).
Cultural alignment and translation into practice	Translate purpose statements into everyday practices (Leah, 2024).	Discrepancy between purpose & lived organizational culture, compromising credibility & stakeholder trust
Strategic integration and leadership challenges	Lack of a strategic roadmap to integrate purpose & performance outcomes (Blocker et al., 2025)	Insufficient governance & leadership frameworks to integrate purpose into sustainable strategies
Transformation & external pressures	Corporate purposes fail to address major challenges such as climate change &	Purpose is not ready to resolve external shocks, restricting effectiveness in achieving transformation

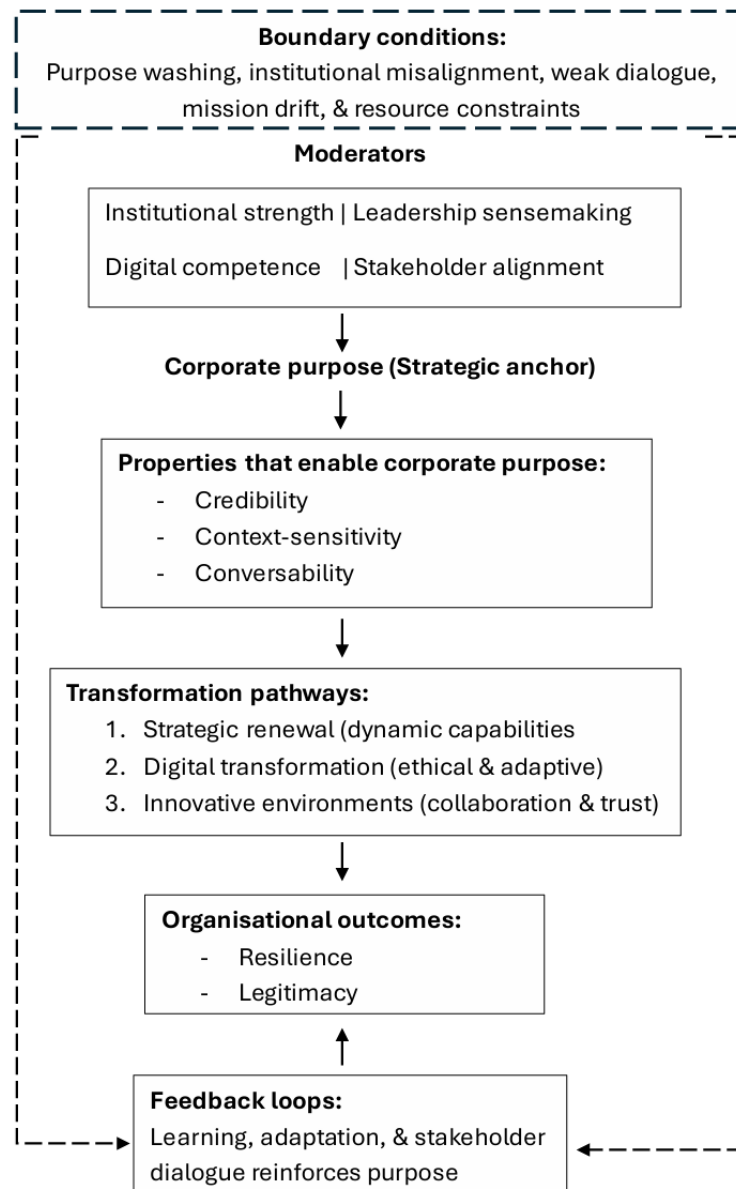
	technological disruptions (Fiedler et al., 2023)	
Measurement fragmentation in academia	Transformation metrics in research are inherent, offering several approaches but limited consensus (Young et al., 2025)	Lack of measurement frameworks to illustrate the effect of purpose-led transformation

Source: Author's own

Risks of mission drift

An additional challenge that organizations face is mission drift, which refers to the divergence between organizational actions and goals. When organizations experience mission drift, their daily activities cease to align with the mission. Often perceived as negative, mission drift may be interpreted positively, reflected as an adaptative response to external pressures. (Suykens et al., 2025). Contrarily, purpose has the potential to gradually erode when organizations fail to incorporate values (Bruder., 2025). However, when purpose is credible, purpose-sensitive, and conversable, it has the potential mitigate mission drift by reinforcing organizational values, scaling, renewal and transformation.

Diagram 1: Conceptual model of Purpose as a catalyst: Enabling properties, pathways, & boundary conditions



Source: Author's own

The above diagram depicts how corporate purpose functions as a foundational element that drives transformation within organizations. The moderating factors determine how strong the relationships are in the model, elucidating why purpose-led transformation differs across organizations. Transformation is enabled by 1) credibility (aligned with actions) 2) context-sensitivity (altered to institutional environments, and 3) conversability (dialogue amongst stakeholders). These properties act as mediators, allowing purpose to translate into three forms of transformational pathways such as strategic renewal, digital transformation, and innovation ecosystems. When the pathways are successfully implemented, organizations can achieve resilience (ability to adapt during uncertainty) and legitimacy (trust of stakeholders), resulting in a credible purpose, stakeholder trust, and learning through feedback loops. These are

however dependent on the boundary conditions, depicted above and surrounds the entire framework. The boundary conditions refer to the contextual constraints that limit an organization's corporate purpose, which includes purpose washing (low credibility), institutional misalignment, weakened stakeholder dialogue (low conversability), and resource constraints. The constraints filter down, weakening the enabling properties and further preventing an organization's purpose from achieving transformation pathways. Theoretically, the boundary conditions represent external pressures, ultimately leading to mission drift while compromising legitimacy.

Propositions

Proposition 1: Executive sensemaking is enhanced during strategic uncertainty when purpose is structured as credible, context-sensitive, and conversable.

Proposition 2: Purpose-led transformation is likely to be achieved and catalyse strategic renewal when integrated in innovation ecosystems that facilitate ethical reflectiveness and stakeholder dialogue.

CONTRIBUTIONS

This paper is conceptual in nature and employs a multi-layered diagram framework. Existing literature is synthesised, offering constructs and theoretical claims. The researcher has avoided over exaggerating governance and institutional outcomes. Additionally, the papers propositions can be tested empirically using a multi-case comparative study or longitudinal study.

This paper contributes to strategic management and business innovation, advancing the debate on how purpose serves as an ethical foundation and strategic enabler of organizational transformation. By positioning purpose as credible, context-sensitive, and conversable, it functions as a guide to ethically adopt technologies while legitimising innovation ecosystems.

The framework offers organizations a guide to integrate purpose that is aligned with practices, while attaining transparency and resilience when faced with external shocks such as technological disruption.

Purpose functions as a catalyst for strategic renewal, technological transformation and innovation, allowing organizations to effectively incorporate sustainability, governance and conversability in achieving strategic edge.

LIMITATIONS

This study has several limitations arising from its conceptual nature. The proposed framework synthesizes existing literature rather than testing relationships empirically, limiting conclusions regarding causality and practical effectiveness. Moreover, institutional and sectoral differences may influence how purpose enables organizational transformation, restricting the framework's generalizability across contexts. The proposed relationships and boundary conditions therefore require empirical validation through comparative, longitudinal, and multi-level research across diverse industries, organizational settings, and institutional environments.

CONCLUSION AND FUTURE RESEARCH

This paper highlights corporate purpose as a strategic asset that moves beyond an organization's moral duty. When purpose is designed to build credibility, remain adaptive and conversable, it has the potential to catalyse strategic renewal, digital transformation and innovation ecosystems. Ultimately, it equips organizations with resilience, legitimacy and sustainable competitive advantage, offering stability and enhancing organizational foundations. For industry professionals, the study emphasises that integrating purpose necessitates systemic integration while for scholars, it allows one to test how purpose-led structures facilitate adaptability across industries. The two propositions address how organizations experience enhanced executive sensemaking during periods of uncertainty and that purpose-led transformation is accelerated when incorporated into innovation ecosystems. These two propositions provide a pathway for empirical testing, while corroborating the conceptual framework.

There remains a lack of coherent empirical evidence, thus, future research should focus on government systems to assess how purpose specifically supports organizational transformation. Studies that are conducted across different industries and countries would potentially help to validate consensus on metrics. Due to the conceptual nature of this paper, the study would empirically benefit from a comparative study that tests the models enabling properties and boundary conditions. Additionally, future research should implement purpose-led transformation through longitudinal studies across industries, examining how measurement frameworks have the potential to increase resilience and innovation.

An extension of this framework contributes to business ethics and an organizations strategic direction by highlighting corporate purpose as a multi-level governance instrument that influences renewal, digital adoption and innovation. Purpose further functions as an ethical anchor for organizations operating in weak regulatory environments, technological uncertainty

or emerging markets. In practical terms, the model serves as a roadmap, allowing organizations to integrate purpose into decision-making, enabling transformation to remain credible and socially accepted.

Note: This paper was written in accordance with approved ethical guidelines.

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